CONFIDENTIAL

No. 130
(1030/104/52)

British Embassy,
Tokyo

12th May, 1952.

FJ 1661/21

FJ 10310/78

Sir,

The negotiations begun at Taipeh in the middle of February between representatives of the Japanese and Chinese Nationalist Governments were concluded by the signature on the 28th April of a Treaty of Peace, with attached Protocol, the text of which, as published in the Japanese press on the 29th April, was enclosed in the Head of Chancery's letter 1030/101/52 of the 6th May. On the same date two sets of letters were exchanged between the chief delegates. In one of these the Japanese Government confirmed that the terms of the Treaty "shall in respect of the Republic of China be applicable to all the territories which are now, or which may hereafter be, under the control of its Government". In the other the Japanese Government confirmed that pending the conclusion of the agreement on civil aviation provided for in the Treaty, Japan would give to the Republic of China the same benefits as regards civil aviation as those she agreed to give to the Allied Powers under Article 13 of the Japanese Peace Treaty.

2. The Japanese Government's undertaking to conclude a Treaty with Chiang Kai Shek, given in Mr. Yoshida's letter of the 24th December, was thus fulfilled a few hours before Japan ceased to be an occupied country.

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The final act was completed when public attention both in Japan and elsewhere was diverted by events connected with the coming into force of the San Francisco Peace Treaty and in Japan at least there has so far been no very marked reaction.

3. The delays and vicissitudes in the negotiation of this Treaty have already been reported. Until the last moment the Japanese seemed to be in no haste, and part at least of the delay was no doubt due to Mr. Yoshida's desire to show the Americans that while circumstances made it imperative for him to do their bidding, he could take his time about it. A report in the Asahi on April 14th said that the delay was due to Mr. Yoshida's desire "to give special consideration to the position of Great Britain", but although there is no doubt that the reaction in the United Kingdom to the "Yoshida letter" has caused the Japanese no little concern, this isolated report is the only indication there has been in Japan that the protraction of the negotiations was in any way due to a Japanese desire to spare British susceptibilities.

4. Viewed from the immediate prospect the Treaty is a considerable success for the Japanese. They were able to avoid in the Treaty itself reference to the most controversial issue - the territories "which may hereafter be under the control of the Nationalist Government" - and this was dealt with by an exchange of letters which significantly have not been published in Japan. Thus to some extent the Japanese have been able to avoid public acknowledgement to their own people of their acceptance of Mr. Dulles' dictation.

/ Also

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Also under Article 3 they have managed not only to avoid being pinned down on the question of payment of reparations but have succeeded in writing into the Treaty their own claims in Formosa and the Pescadores as a subject for future negotiation on the same basis as the Chinese claims against Japan. When one considers the total abandonment of her assets abroad which Japan accepted under the San Francisco Treaty, the wresting of this concession from the Nationalist Government of China must at least be regarded as a considerable diplomatic victory, and it is safe to say that having obtained this agreement in principle the Japanese will bargain hard and long when it comes to settling specific cases.

5. Further, under the terms of the Protocol Japan is absolved from supplying to the Republic of China any of those services in lieu of reparations which the Allied Powers signatory to the San Francisco Treaty may claim under Article 4(a) of that Treaty; she is absolved, in respect of Nationalist China, from the terms of Article 11 of the San Francisco Treaty concerning war criminals; and she has succeeded in escaping the liabilities incurred under Article 18 of the San Francisco Treaty for the settlement of pre-war pecuniary debts arising out of private and public obligations and contracts.

6. On the face of things therefore Japan might well congratulate herself. But there is a reverse side to the medal. In my despatch No. 15 of the 28th January I discussed the probable effect of the "Yoshida letter" and of the policy toward China which it inaugurated. Whatever immediate gains this Treaty may bring to Japan they affect only a small corner of Chinese territory

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of the Central Peoples' Government and the whole Chinese Mainland. It is of course arguable that as long as Japan remains opposed to Communism and friendly to the Western Powers the alienation of that Government is in any case inevitable, but it is also arguable that had Japan not been led to provoke them, a reasonable modus vivendi with the Chinese might have been arranged. Of this there now appears no possibility.

7. Because, as stated above, the signature of this Treaty coincided with other events of more immediate moment, the Japanese press and informed public opinion have not yet had time to devote themselves to a detailed study, and there are at present no pointers as to the attitude which the Diet will take when the Treaty is submitted for ratification. In my despatch No. 15 I stated that since at the time of the Yoshida Letter Japan was still under occupation, too forthright a criticism of Mr. Yoshida in the Diet might be avoided lest it be construed as criticism of the United States. At present Japan is sovereign and beginning to speak her mind. The debate in the Diet may therefore show whether the apparent unconcern with which Mr. Yoshida has dealt with Japan's relations with her Chinese neighbour is shared by his fellow countrymen.

I am sending copies of this despatch to Her Majesty's Ambassadors at Washington and Moscow, Her Majesty's Charge d'Affaires at Peking, the Commissioner General for the United Kingdom in South-East Asia, His

/ Excellency

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Excellency the Governor of Hongkong and Her Majesty's Consulate at Tamsui.

I have the honour to be, with the highest respect,

Sir,

Your most obedient, humble Servant,

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